

Tesla, Inc.
TSLA NASDAQ

Hold	\$383.60 ▲ 2.29%	12M Price Target \$420.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.52T
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TSLA: Robotaxi Hype Meets EV Credit Cliff Reality

WHAT HAPPENED

- TSLA snapped a 3-day slide, popping 2.3% on heavy volume (31M shares vs ~27M average) — the stock had drifted down from \$380 to \$375 all week, so this feels like a dip-buy bounce rather than news-driven. No filings, no overnight headlines, so the move is technical/sentiment-driven.
- The options tape is screaming though — massive unusual activity at the \$385 and \$387.50 strikes expiring this month (115x and 137x normal open interest). Someone is making a huge directional bet, and the put-heavy skew tells me big money is hedging a near-term move, not celebrating one.

WHY IT MATTERS

Here's what I think is really going on: the stock is caught between two opposing forces. On one side, the federal \$7,500 EV tax credit expired on September 30 — that's a real demand headwind heading into Q4 deliveries, and Q3 numbers (reported last week) likely got a sugar-high pull-forward that won't repeat. On the other side, Robotaxi expansion in Austin and the Optimus narrative keep the AI/robotics premium alive. The unusual put buying at \$385 tells me institutions are hedging into Q3 earnings and the first "post-credit" delivery data — if deliveries disappoint, this stock has a long way to fall before valuation becomes "reasonable." The CFO selling in September (while small) is also worth noting — insiders aren't adding here.

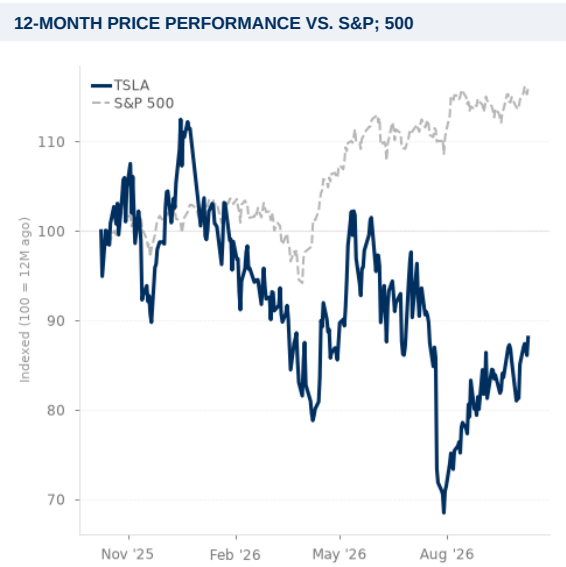
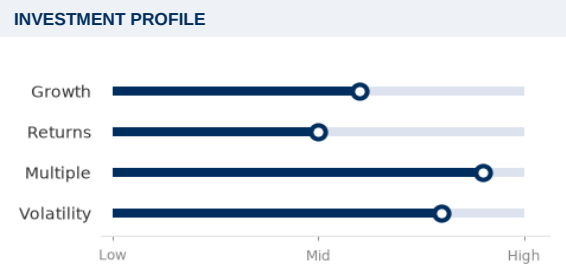
POLICY & POLITICAL WATCH

The big one: the federal EV tax credit (the \$7,500 consumer rebate) officially ended September 30 under the One Big Beautiful Bill Act — this is a direct demand hit for TSLA's U.S. auto business starting Q4. Offsetting that, the Trump administration's push to loosen NHTSA autonomous vehicle rules is a direct tailwind for Robotaxi scaling, and the proposed rollback of CAFE fuel economy penalties could crush the regulatory credit revenue stream (which was ~\$2B+ annually for Tesla — basically pure profit). Also watch China tariffs — any escalation hits Shanghai gigafactory economics and the global supply chain for battery components.

IS IT EXPENSIVE?

At \$383, you're paying roughly 157x next year's expected earnings — meaning investors are paying \$157 for every \$1 of profit the company is expected to make. For comparison, the S&P 500 trades around 22x. This only makes sense if you believe Robotaxi and Optimus become massive businesses — because the car business alone, growing 10-15% with shrinking margins, would justify maybe \$150-200 per share. You're paying ~\$180 of pure "AI/robotics option value" on top of the car company.

Key Data	
Price (USD)	\$383.60
12M Price Target	\$420.00
Upside / (Downside)	+9.5%
Market Cap	\$1.52T
FY2026E Revenue	\$112M
FY2027E Revenue	\$135M
FY2026E EPS	\$2.45
FY2027E EPS	\$3.80
Fwd P/E	156.6x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$410.00	\$385.00	\$355.00
6 Months	\$475.00	\$400.00	\$320.00
1 Year	\$550.00	\$420.00	\$290.00
2 Years	\$700.00	\$475.00	\$250.00
5 Years	\$1200.00	\$650.00	\$200.00
10 Years	\$2000.00	\$900.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.6%) and Utilities (+3.9% over 5 days) are ripping — that's a classic "rates are coming down" trade, which typically helps high-multiple growth names like TSLA too. Healthcare also strong on policy clarity.

COOLING OFF: Nothing in the top movers list is cooling hard, but notice Tech isn't on the leaderboard — the AI trade is taking a breather, which is why TSLA's AI premium is vulnerable here.

ROTATION WATCH: Money is rotating into rate-sensitive sectors (REITs, Utilities) on expectations of Fed cuts — if that continues, it's mildly supportive for TSLA's multiple, but the stock really needs an AI/robotics catalyst to break out.

RELATED PLAY: If you believe the autonomous vehicle regulatory tailwind is real, the LiDAR and AV-chip suppliers (think MBLY, or NVDA for the compute side) are second-order beneficiaries without the single-stock risk.

WHO'S WINNING IN THIS SPACE?

- RIVN (Rivian): Benefiting from the same AV deregulation narrative with a much cheaper valuation
- GM (General Motors): Cruise relaunch chatter + profitable legacy business = AV optionality without the 157x multiple

TSLA CONTEXT: TSLA is at 43% of its 52-week range (\$297-\$499), meaning it's middle-of-the-pack — not leading, not lagging. That's a "show me" setup: the stock needs a real catalyst (Robotaxi city expansion, Optimus demo, strong Q4 deliveries) to break higher, otherwise it drifts.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI/robotics optionality but the near-term setup (credit expiration + stretched valuation + bearish options flow) says be patient.

POSITION SIZE: 2-4% of portfolio — this stock can move 10% in a day on a tweet, so size it where you can sleep at night.

ENTRY POINTS: I'd rather buy pullbacks to \$340-360 than chase here. The unusual put activity suggests we could see a flush before the next leg up.

TIME HORIZON: 12-24 months — you're waiting for Robotaxi to prove it's a real revenue line and for Optimus to show commercial traction. Neither happens in a quarter.

WHEN TO BAIL: If auto gross margins (ex-credits) break below 15%, or if Robotaxi hits a serious safety incident that triggers federal intervention, I'm trimming hard.

HEDGING: Simplest hedge is buying protective puts 10-15% out of the money — think of it as paying a small insurance premium so a 30% crash doesn't ruin your year. Or pair it with a short position in a traditional automaker to isolate the "AI premium" bet.